

To validate Module 3 and correctly answer the questions will require that you perform the following exercise first: take the code in the file named module3.R, and modify the probability model such as the predictors taken into account exclusively include (1) recency, (2) the log of recency, (3) frequency, (4) the log of frequency. Also, list the detailed predictions made for the first 10 customers.

You'll be asked to answer these questions :

In the modified model, which of the following predictors does not seem to bear a significant influence on probability predictions?

Suppose a customer has a 20% probability of being active, and a predicted revenue of \$200 if he is. Which of the following statements is not correct?

Looking at the predictions made for the first 10 customers in the database, which of the following statements is not correct?

Among the following customers, which one is expected to be the most profitable for the firm?

In the probability model, why is the sign of the recency parameter expected to be negative?

module3.R (https://d3c33hcgivew3.cloudfront.net/_95...)

purchases.txt (https://d3c33hcgivew3.cloudfront.net/_...)

